

Investment Study Book

A complete PDF reader test

This book was written exclusively as a software test fixture. It contains no CFA Institute curriculum, copyrighted course content, or real personal records.

12 PAGES

3 MODULES + FRONT MATTER + APPENDIX

Original layout. Selectable text. Real page coverage.

Contents and study instructions

Read the original pages, inspect each visual, then write a note in your own words. Page 6 is deliberately blank and must remain in the document.

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Module 1: Time value of money

Money at different dates cannot be compared without a rate and a time convention. This module uses simple annual compounding for a transparent example.

Learning objectives

- Identify a future cash flow.
- Discount the cash flow to a common valuation date.
- Explain the direction of the price-rate relationship.

Lesson 1: Discount factors

Cash flow formula: a future payment of 110 discounted at 10% for one year has a present value of 100. The formula below must remain legible and selectable.

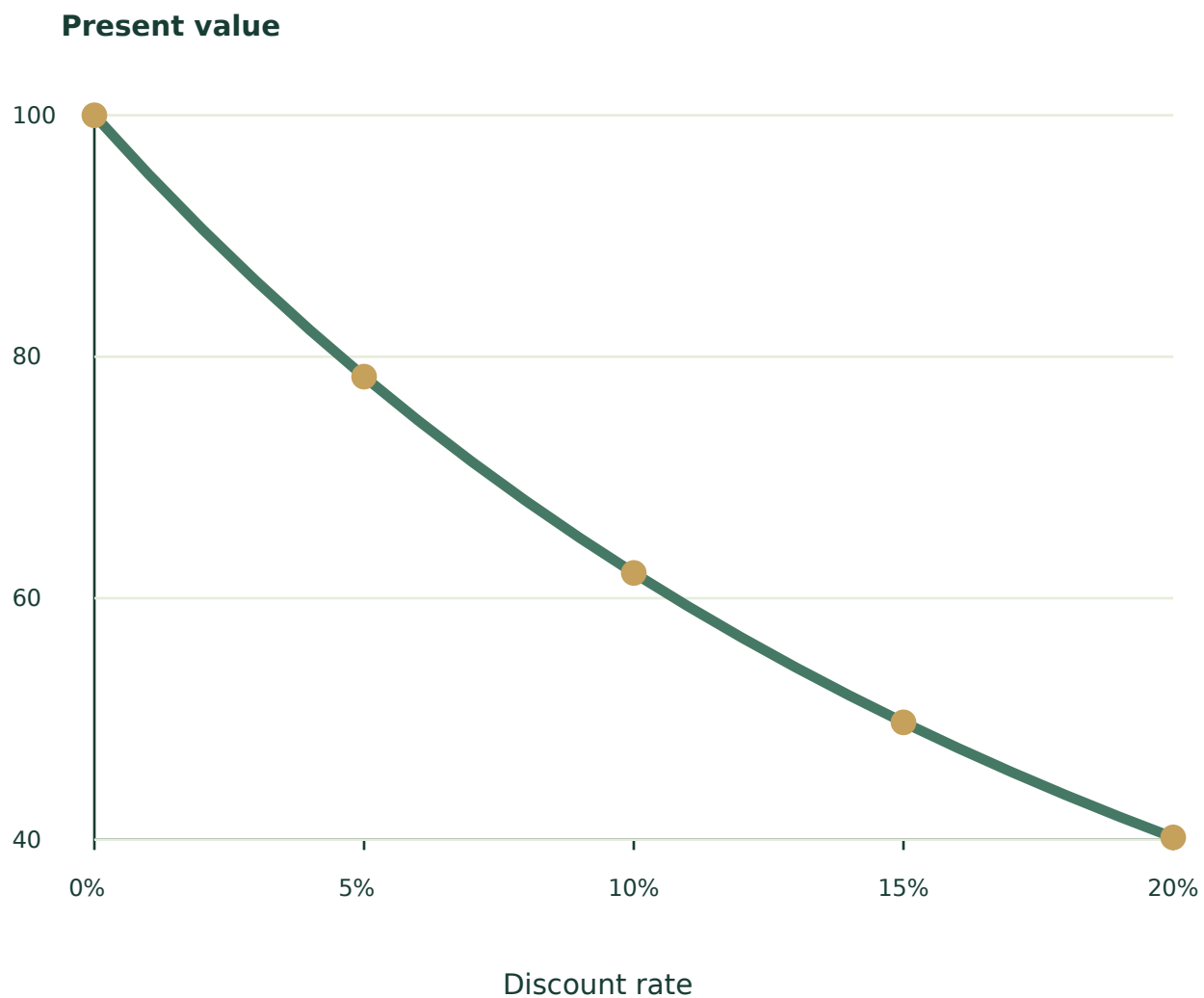
$$PV = CF / (1 + r)^t$$

$$100 = 110 / 1.10$$

Year	Cash flow	Discount factor	Present value
1	110.00	0.909091	100.00
2	121.00	0.826446	100.00
Total	231.00	Not additive	200.00

Lesson 2: Rates and prices

Figure 1. A zero-coupon payment of 100 in five years falls in present value as the discount rate rises. The original vector graph must be rendered, not replaced by extracted text.



Module 2: Risk and allocation

This module compares exposures across assets. A portfolio is described using clear categories and consistent units. Do not merge its pages into the previous module.

A simple allocation

The next page intentionally uses two columns. The original PDF reading order and diagram should stay intact in the primary reader even when text extraction is imperfect.

Lesson 1: Portfolio exposures

Column A: Equities

Equities represent ownership exposure. The value can change as expected cash flows and required returns change. An allocation measure is a weight, not a guaranteed return.

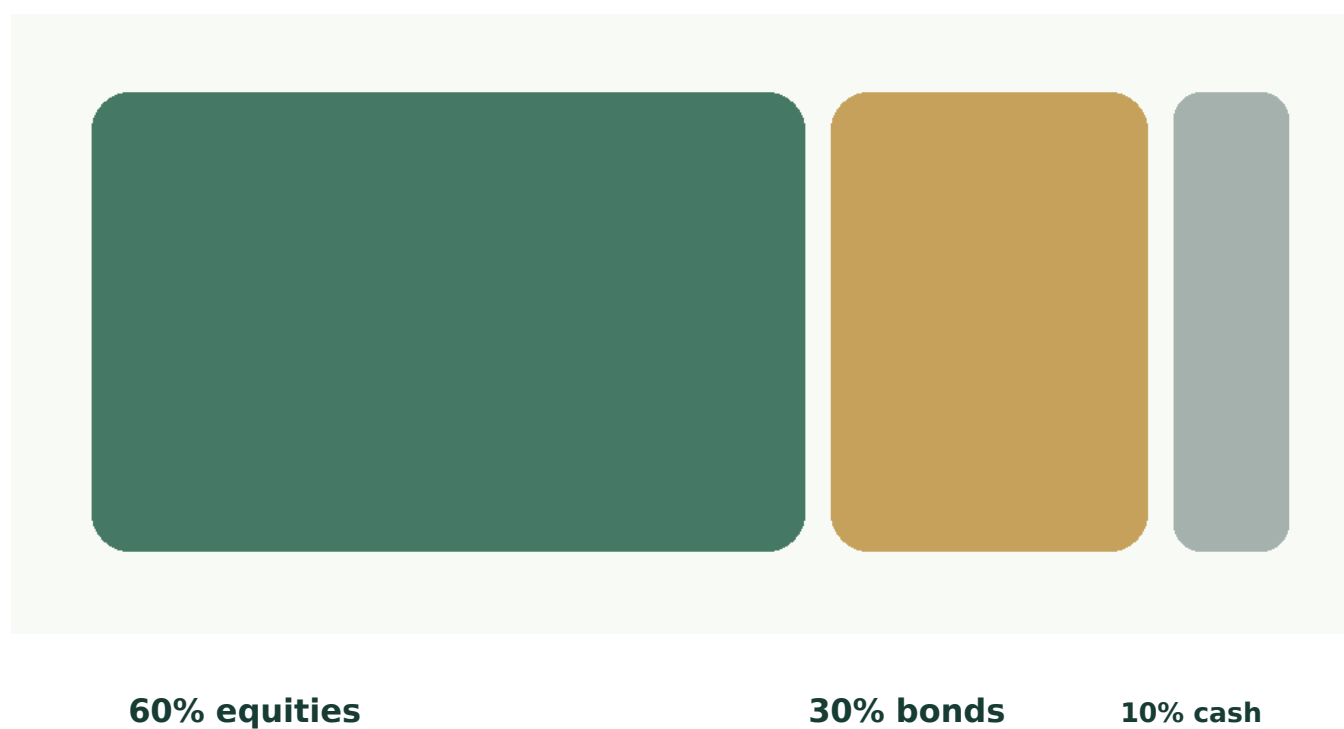
Column B: Bonds

Bonds represent a contractual payment stream. Interest rate changes affect their value. Credit quality is a separate dimension and should be assessed in context.

Asset class	Weight	Test identifier
Equities	60%	RISK-EQUITY
Bonds	30%	RISK-BOND
Cash	10%	RISK-CASH
Total	100%	CHECK-100

Lesson 2: Visual comparison

Figure 2. Three deliberately different asset blocks form the allocation. The green block is largest, the gold block is medium, and the gray block is smallest.



Module 3: Decision process

A useful decision process identifies facts, considers alternatives and documents a reasoned choice. This synthetic scenario is not investment advice or an official assessment.

1. Identify

List the known facts and uncertainties.

2. Consider

Compare available choices and affected parties.

3. Decide

Record the reasoning and revisit the outcome.

Lesson 1: Explain your decision

Practice question. Which step should occur before documenting a final decision?

- A. Identify the relevant facts and uncertainties.
- B. Ignore alternatives to finish faster.
- C. Replace evidence with confidence.

Answer and explanation

A is correct in this synthetic exercise. A documented decision should be supported by the relevant facts and a review of alternatives.

Literal markup example: `<p>Keep this as PDF text</p>`. Angle brackets are source characters, not an instruction to format this sentence as HTML.

Appendix: Definitions and notes

Term	Definition
Discount factor	Weight applied to a dated cash flow.
Allocation	Share assigned to a portfolio category.
Evidence	Information used to support a decision.

END-OF-BOOK-COVERAGE-MARKER. This final page verifies that appendices remain accessible and are counted in whole-document coverage.